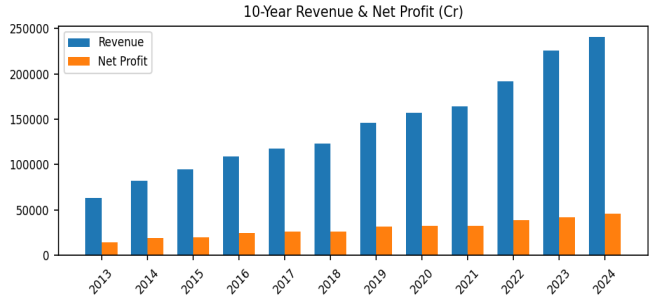
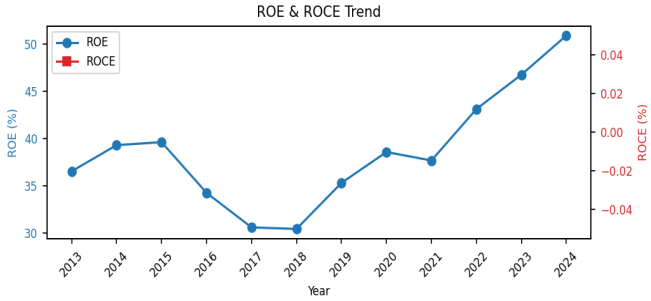
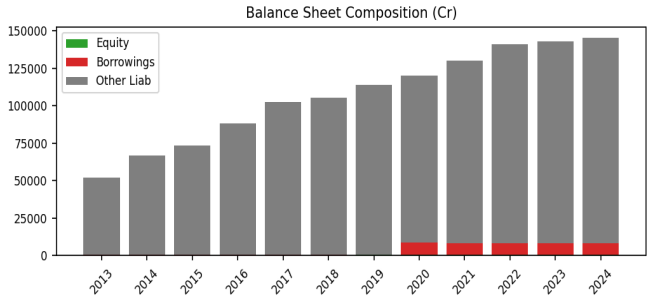
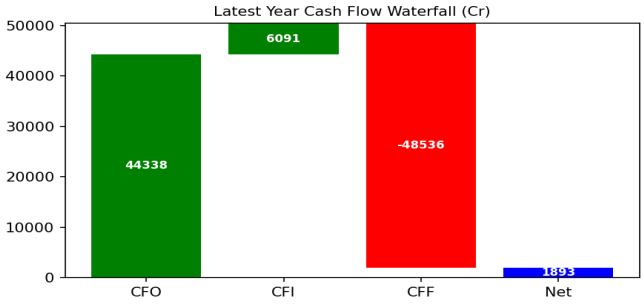
Tata Consultancy Services Ltd (TCS)

Revenue	Net Profit	Total Equity
■24.1T	■4.6T	■362Cr
ROE	**ROCE**	**D/E**
50.9%	-	0.09x









Pros	Cons
• Consistently high return on equity above 20% demonstrates exceptional capital efficiency (Conf: 90%) • Strong free cash flow generation over 5 years signals healthy business fundamentals (Conf: 95%) • Operating profit margin above 25% indicates strong pricing power and cost discipline (Conf: 80%) • Very high interest coverage ratio reflects negligible financial stress from debt servicing (Conf: 85%) • Return on equity improving for 3 consecutive years shows strengthening business quality (Conf: 75%)	• Dividend payout ratio above 100% means the company is paying dividends from reserves, which is unsustainable (Conf: 90%)

Capital Allocation Pattern: Liquidating Assets